

MA/V

Payment Network Tale of the Tape (2024)

In this report, we look back at 2024 and compare key financial, operating and return metrics to better understand mix/performance differences between Mastercard and Visa. Various factors complicate comparability between the two companies, including Mastercard's VAS&S revenue disaggregation, its Maestro card conversion, differences in regional disclosure as well as Visa's revenue recognition standards. Where possible, we've tried to adjust for and/or highlight these factors. Bottom line, while Visa remains the scale leader, Mastercard outgrew Visa on most key metrics in '24. We maintain our Overweight rating on both names, without a strong relative preference between the two after a year of preferring Mastercard; we see Mastercard's near term growth premium sustaining helped by pricing actions, while we like Visa's relative value with growth upside around pricing and with less of a regulatory overhang domestically than in recent history.

- **Visa remains the scale leader, Mastercard grows faster.** Visa has greater scale, generating 63% more total volume than Mastercard, 31% more revenue and has a ten-point operating margin premium, driven by fixed cost leverage, including notably better personnel expense leverage. Visa has ~50% more cards outstanding and almost two-thirds relative market share globally (based on purchase volume). That said, Mastercard grows faster than Visa across various metrics, aided by a better mix of faster-growing regions and revenue streams (value added services & solutions). We expect Mastercard's growth premium to sustain and see additional margin expansion opportunity over time relative to Visa, justifying its premium valuation.
- **Income statement analysis.** In 2024, Mastercard outgrew Visa's revenue growth by about 2ppts on a reported and organic basis, in line with its average revenue growth premium of ~2ppts over the last five years. Visa grew its value added services revenue ~3ppts faster than Mastercard last year, consistent with recent trends, with law of large numbers contributing. Mastercard grew adj. EPS ~4ppt faster in 2024, on ~40bps of operating margin expansion vs. Visa's ~40bps of contraction. Below the line drivers contributed a similar relative amount of EPS growth for both networks (~1/3 of EPS growth by our math).
- **Shareholder and financial returns.** Both companies are extremely cash flow generative and returned all of their adjusted net income to shareholders last year (Mastercard 100%, Visa 103%) primarily in the form of share repurchases. In 2024, Mastercard and Visa's shares appreciated 23% and 21%, respectively, versus 23% appreciation in the S&P 500. YTD, Visa has outperformed both Mastercard and the broader S&P 500, as we believe investors preferred U.S. growth early in the year as well as seeing less regulatory risk, which supported positive multiple expansion.
- **Relative valuation.** Network multiples have expanded in recent months, outpacing the S&P 500. Today, Mastercard and Visa trade at 33x and 28x NTM EPS Street estimates, respectively, 1-2 turns ahead of their 1-year averages. That said, both companies now trade about in line with their historical premium to the S&P 500, with MA and V trading at a 58% and 38% premiums to the S&P, respectively, versus three-year averages of 56% and 33%.

See page 25 for analyst certification and important disclosures, including non-US analyst disclosures.

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MA/V Tale of the Tape

Table 1 below compares key financial metrics from Mastercard and Visa. Visa has greater scale, generating 63% more total volume than Mastercard, 31% more revenue and has a ten-point operating margin premium. On a reported and FXN basis, Mastercard grew revenues ~2ppts faster than Visa. That said, comparability is complicated by a few factors, including the fact that Mastercard (1) excludes Maestro- and Cirrus-branded transactions from its volume metrics, which understates volume share in certain regions while boosting revenue yield metrics, and (2) is in the process of reissuing several hundred million Maestro cards (as Mastercards), which moderately inflates certain card and volume growth metrics. Visa also recognizes service (volume-based) revenue on a one-quarter lag, which can impact comparability especially during volatile spending periods.

What does all this mean? Visa is materially larger and generates higher operating margins, while Mastercard is growing faster while scaling margins more aggressively than Visa.

Table 1: Payment Network CY24 Financial Summary

	Mastercard	Visa
Net Revenues (\$ millions)	28,167	36,802
% change (y/y)	12.2%	10.3%
% change (organic FXN; JPMe)	13%	11%
Net Revenue Yield (bps)	28.9	23.1
Personnel Expense (\$ millions)	6,673	6,598
Marketing Expense (\$ millions)	815	1,573
Adjusted Operating Profits (\$ millions)	16,452	24,895
Operating Margins	58%	68%
Change in Operating Margins (y/y)	40bps	-40bps
Incremental Operating Margins	62%	64%
Total Volume* (\$bn)	9,759	15,911
% change (y/y; FXN)	10%	7%
Global Purchase Volume* (\$bn)	8,018	13,431
% change (y/y; FXN)	11%	8%
US Purchase Volume (\$bn)	2,784	6,582
% change (y/y)	7%	6%
US Credit (\$bn)	1,525	3,205
US Debit (\$bn)	1,257	3,379
Global Processed Transactions (millions)	159,424	240,083
% change (y/y)	11%	10%
US Credit Cards Outstanding (millions)	346	451
US Debit Cards Outstanding (millions)	358	1,012
Total Cards Outstanding (millions)	3,158	4,700
Efficiency Measures:		
Ad & Marketing % of Revs	3%	4%
GDV per \$ of Ad & Marketing Spend (\$)	11,974	10,115
Employees	35,300	31,600
Revenue per Employee (\$ 000s)	\$798	\$1,165
Opex per Employee (\$ 000s)	\$332	\$377
Employee Growth (2019-2024)	14%	10%

Source: Company reports, J.P. Morgan estimates.

Note: Revenue yield is net revenue divided by total volume. Mastercard's reported data excludes debit transactions on Maestro- and Cirrus-branded cards. Visa cards outstanding as of C3Q (reported on a one quarter lag).

Other High Level Takeaways

- **Mastercard's volume growth outpaced Visa's.** Mastercard's global purchase volume increased 11% on an FXN basis in '24, three points ahead of Visa's. A portion of Mastercard's premium growth, particularly in Europe, can be attributed to the ongoing Maestro conversion. Beneficial regional mix also helps Mastercard (more exposed to faster growing regions), as well as issuer wins, including Deutsche Bank and UniCredit in Europe, where Mastercard grew purchase volume 4ppts faster than Visa and Citizens in the U.S., where Mastercard grew purchase volume ~2ppts faster than Visa.
- **Visa added more cards in the U.S. and globally.** Visa added ~110M cards in the U.S. in the twelve months ended Sept '24 (most recent available data) representing 6% y/y growth, while Mastercard added ~34M in the twelve months ended Dec '24 or 5% growth. Globally, Visa added ~320M cards in the twelve months ended Sept '24, while Mastercard added ~220M (through Dec '24). Mastercard has been converting its Maestro card portfolio to Mastercard, which has helped card and volume growth figures somewhat (as the converted cards and associated volume were excluded from Mastercard's operating metrics previously); in CY24 Maestro cards declined ~30M or 9%.
- **Mastercard has more employees.** Despite it being smaller across most measures, Mastercard has 12% more employees than Visa at 35.3k (V at 31.6k), driving revenue per employee to be almost 50% higher at Visa (\$1.2M vs. MA at ~\$800K). Visa's opex per employee is 14% higher than Mastercard at ~\$380K (MA at ~\$330K). Since 2019, Mastercard's employee count has grown at a 14% CAGR vs. Visa at 10%. According to filings, 69% of Mastercard's employees are based outside the U.S. compared to 57% for Visa.
- **Visa better leverages operational costs.** Mastercard's notional personnel spend is 1% higher than Visa's, despite generating ~25% less revenue. Personnel expense represents 24% of Mastercard's net revenues, but only 18% of Visa's, which we partially attribute to Mastercard's more geographically diversified operations. Visa's nominal marketing spend is almost 2x larger than Mastercard's (V/MA at \$1.6B/\$815M). Advertising and Marketing expense represents ~3% of Mastercard's net revenues and ~4% of Visa's. Incremental operating margins in CY24 were 2ppts higher at Visa (64%, vs. 68% reported margins in 2024) than at Mastercard (62%, vs. 58% reported margins in 2024).

Volume and Transaction Analysis

Purchase Volume Mix by Card Type

Table 2, below, shows network volume mix and growth rates by card type. Visa's domestic credit and debit businesses are over 2x larger than Mastercard's while internationally, Visa is ~30% larger than Mastercard.

Mastercard U.S. debit volume grew ~9% in 2024, while Visa grew 6%, helped by the Citizens portfolio flip (JPMe 2-3ppt lift to Mastercard's U.S. debit volume and 1ppt headwind to Visa's); Mastercard international debit grew ~5ppts faster than Visa at 17% (Visa 12%).

Table 2: Purchase Volume Analysis (by Payment Type) - 2024

\$ in billions

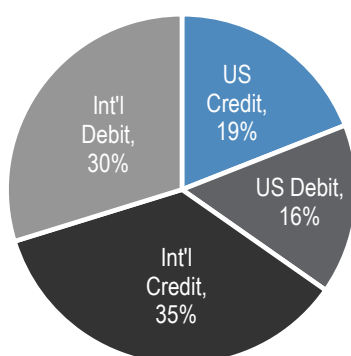
	Mastercard	Visa
Purchase Volume (\$bn)	\$8,018	\$13,431
<i>US Credit</i>	\$1,525	\$3,205
<i>US Debit</i>	\$1,258	\$3,379
<i>Int'l Credit</i>	\$2,846	\$3,432
<i>Int'l Debit</i>	\$2,386	\$3,412
Purchase Volume Relative Share	37%	63%
<i>US Credit</i>	32%	68%
<i>US Debit</i>	27%	73%
<i>Int'l Credit</i>	45%	55%
<i>Int'l Debit</i>	41%	59%
Purchase Volume Mix		
<i>US Credit</i>	19%	24%
<i>US Debit</i>	16%	25%
<i>Int'l Credit</i>	35%	26%
<i>Int'l Debit</i>	30%	25%
Purchase Volume Growth Rates (Local)	11.4%	8.2%
<i>US Credit</i>	6.5%	5.8%
<i>US Debit</i>	8.5%	6.0%
<i>Int'l Credit</i>	11.3%	8.9%
<i>Int'l Debit</i>	16.6%	12.0%

Source: Company reports.

Note: Mastercard's reported data exclude debit transactions on Maestro- and Cirrus-branded cards.

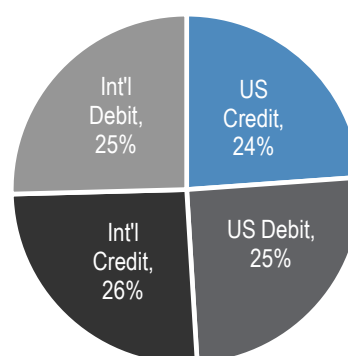
Figure 1 and Figure 2, below, show Mastercard's and Visa's volume mix by card type and geography. We note that most international markets are growing faster than the U.S. market and Mastercard has a relatively higher mix of international volume (65% of total purchase volume versus Visa at 51%), driven largely by international credit (35% of total purchase volume versus Visa at 26%).

Figure 1: Mastercard Purchase Volume Mix (Card Type) – 2024



Source: Company reports.

Figure 2: Visa Purchase Volume Mix (Card Type) – 2024

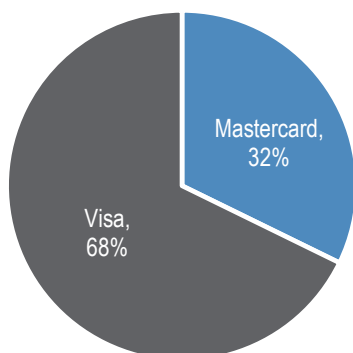


Source: Company reports.

Relative Purchase Volume Market Share by Card Type

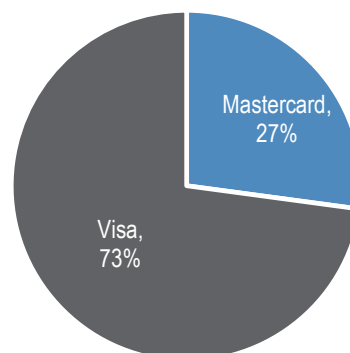
Figures 3 and 4 below summarize domestic purchase volume market share by card type (relative to each other). Visa holds dominant market share in both the U.S. credit and debit markets (roughly 70% in both). Outside the United States Visa still holds a relative lead, but to a lesser degree (~60% relative share).

Figure 3: Domestic Credit Purchase Volume Share – 2024



Source: Company reports.

Figure 4: Domestic Debit Purchase Volume Share – 2024



Source: Company reports.

Purchase Volume Mix by Geography

Table 3 below shows network purchase volume mix and growth rates by geography. On a purchase volume basis, Visa is more U.S. centric than Mastercard (49%/35% respectively) and it holds almost two-thirds relative purchase volume market share globally, and leading share in every region with Europe being the narrowest (51%/49% relative share).

Table 3: Purchase Volume Analysis (by Geography)

\$ in billions

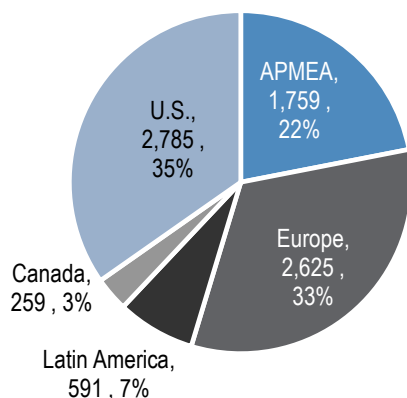
	Mastercard	Visa
Purchase Volume (\$bn)		
APMEA	1,759	2,808
Europe	2,625	2,716
Latin America	591	907
Canada	259	417
U.S.	2,785	6,582
Total	8,018	13,431
Purchase Volume Relative Market Share		
APMEA	39%	61%
Europe	49%	51%
Latin America	39%	61%
Canada	38%	62%
U.S.	30%	70%
Total	37%	63%
Purchase Volume Penetration Rate		
APMEA	75%	78%
Europe	80%	84%
Latin America	72%	63%
Canada	97%	93%
U.S.	92%	92%
Total	82%	84%
Purchase Volume Growth Rates (Local)		
APMEA	8.2%	6.0%
Europe	16.7%	12.9%
Latin America	21.5%	21.7%
Canada	6.2%	7.4%
U.S.	7.4%	5.9%
Total	11.4%	8.2%

Source: Company reports.

Note: For comparability, Visa's APMEA combines Asia Pacific and CEMEA (Central Europe, the Middle East and Africa). However, Mastercard's Europe region includes Central European countries. Mastercard's reported data excludes debit transactions on Maestro- and Cirrus-branded cards. Purchase Volume Penetration Rate represents purchase volume as a percent of total volume.

Figure 5: Mastercard Purchase Mix (by Geography) – 2024

\$ in billions

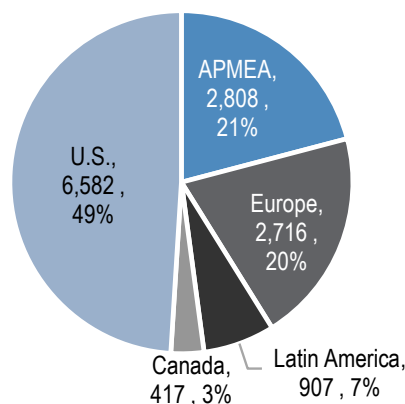


Source: Company reports.

Note: For comparability, Visa's APMEA combines Asia Pacific and CEMEA (Central Europe, the Middle East and Africa). However, Mastercard's Europe region includes Central European countries. Mastercard's reported data excludes debit transactions on Maestro- and Cirrus-branded cards.

Figure 6: Visa Purchase Mix (by Geography) – 2024

\$ in billions



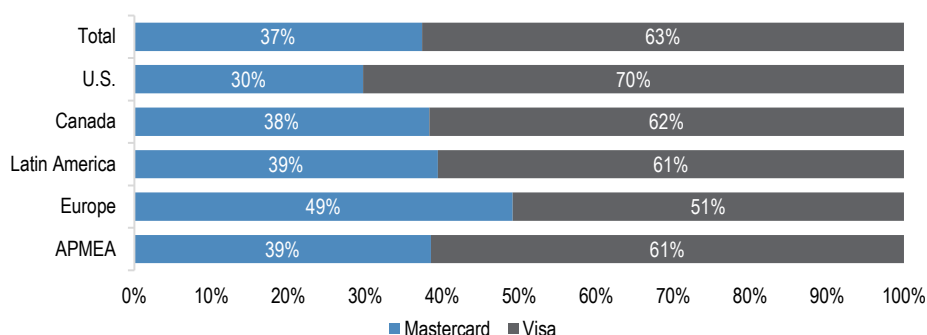
Source: Company reports.

Note: For comparability, Visa's APMEA combines Asia Pacific and CEMEA (Central Europe, the Middle East and Africa). However, Mastercard's Europe region includes Central European countries. Mastercard's reported data excludes debit transactions on Maestro- and Cirrus-branded cards.

Purchase Volume Market Share by Geography

Figure 7 below summarizes relative purchase volume market share by geography. Visa holds a leading share in all geographies, although Visa's relative share in Europe and Latin America is slightly overstated, as Mastercard excludes Maestro and Cirrus volume from its volume figures. We also note there are differences in what countries are included in respective regions (e.g., according to their Processing Rulesets, Mastercard includes ~60 countries in Europe, while Visa includes ~40), which impacts comparability.

Figure 7: Bankcard Purchase Volume Share (by Region) – 2024

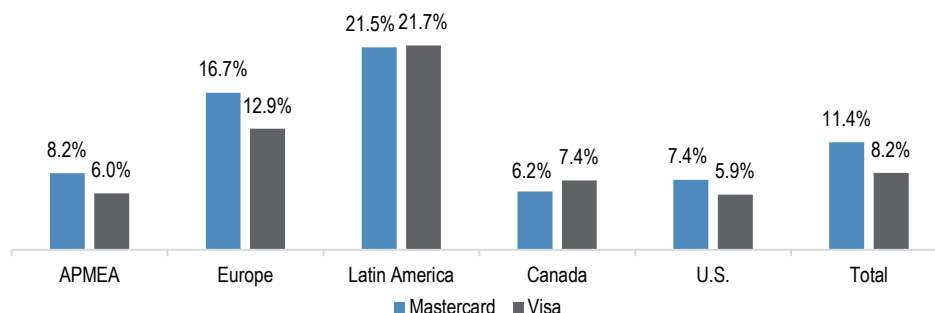


Source: Company reports.

Note: For comparability, Visa's APMEA combines Asia Pacific and CEMEA (Central Europe, the Middle East and Africa). However, Mastercard's Europe region includes Central European countries. Mastercard's reported data excludes debit transactions on Maestro- and Cirrus-branded cards.

Figure 8 below shows local currency purchase volume growth by geography. Mastercard posted faster constant currency purchase volume growth in aggregate, led primarily by Europe where Mastercard's growth was ~4ppts faster than Visa's and the United States where the conversion of the Citizens debit portfolio lifted relative growth. Mastercard grew purchase volume slower than Visa in Canada and Latin America.

Figure 8: Payment Network Local Currency Growth Rates – 2024



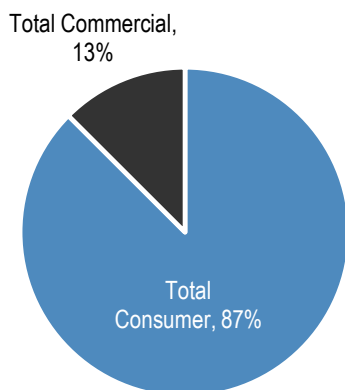
Source: Company reports.

Note: For comparability, Visa's APMEA combines Asia Pacific and CEMEA (Central Europe, the Middle East and Africa). However, Mastercard's Europe region includes Central European countries. Mastercard's reported data excludes debit transactions on Maestro- and Cirrus-branded cards.

Commercial Volume

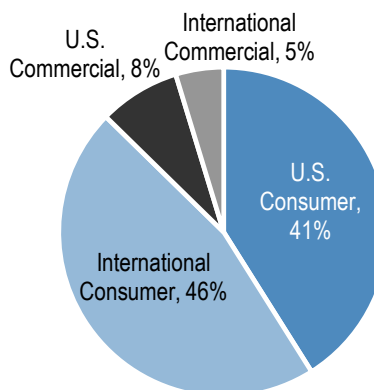
Commercial volume makes up 13% of Visa's purchase volume and Mastercard's GMV, with consumer spending making up the remaining 87%. Visa discloses regional commercial volume, with domestic commercial volume representing a slightly larger share than international.

Figure 9: Mastercard GMV Mix (Commercial) – 2024



Source: Company reports

Figure 10: Visa Volume Mix (Commercial) – 2024

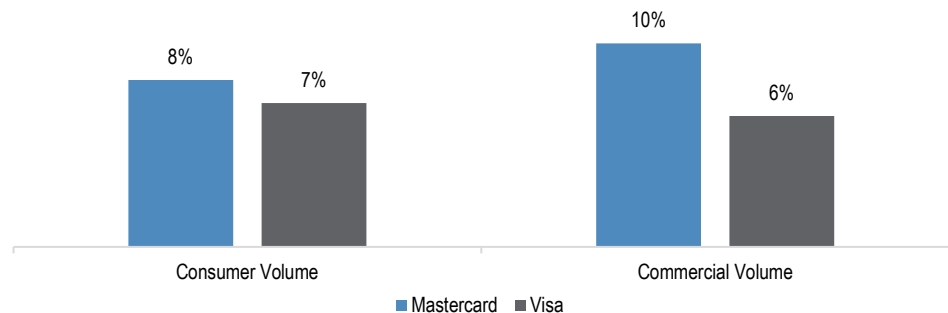


Source: Company reports

Note: reflects LTM as of September (reported on quarter lag); percent of purchase volume

On a reported basis, commercial volume grew faster than consumer for Mastercard while consumer volume grew slightly faster than commercial for Visa. Relative to each other, Mastercard's consumer volume grew 1ppt faster than Visa's, while its commercial volume grew 4ppts faster.

Figure 11: Consumer vs. Commercial Volume Growth (2024)



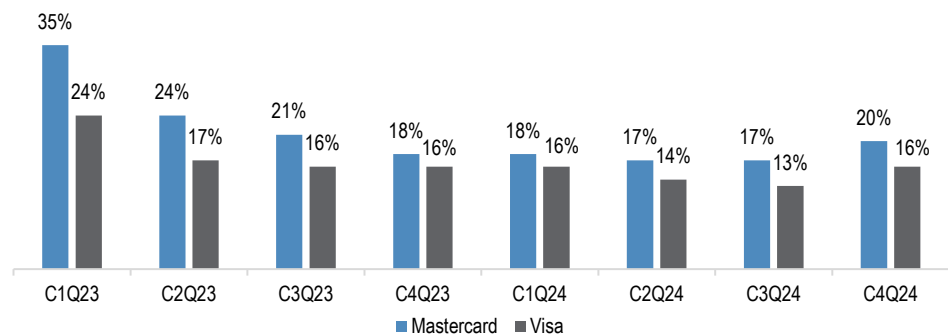
Source: Company reports

Note: Visa reflects LTM as of September (reported on quarter lag); Mastercard represents GMV growth, Visa represents purchase volume growth.

Cross-Border Trends Analysis

Figure 12 below shows quarterly FXN cross-border volume growth for Mastercard and Visa. Mastercard's cross-border volume increased ~18% FXN in CY24, while Visa's increased ~15%. On a quarterly basis since 2018, Mastercard has grown cross border volume at a 6ppt premium to Visa on average; this delta was narrower in 2024 at ~3ppts.

Figure 12: Total Cross-Border Volume Growth



Source: Company reports.

Income Statement and EPS Analysis

- **Visa has a higher mix of U.S. revenues** (40% vs MA at 30%) and generates 31% more total revenue, has 10ppt higher operating margins and 55% more adjusted net income, a decent proxy for free cash flow given high conversion.
- We attribute **Visa's ten-point operating margin premium** primarily to scale, evidenced by relatively lower personnel costs (about six points lower as a % of revenue) and to a lesser degree Mastercard's higher mix of VAS&S revenue, which we think on average are lower margin than payment network revenues and its more globally diversified operations.
- Mastercard's notional network **rebates and incentives** were ~25% larger than Visa's total incentives (\$17.6B vs. \$14.2B), despite processing ~40% less volume. Our sense is Mastercard is more likely to leverage incentives as an effective volume discount vs. rack rate pricing while Visa is more willing to adjust gross pricing.

Table 4, below, compares Mastercard's and Visa's income statements.

Table 4: Income Statement Analysis (CY24)

\$ in millions

	Mastercard	Visa
Payment Network: Volume-Based	29%	
Payment Network: Transaction-Based	39%	
Payment Network: X-Border	29%	
Other Payment Network	3%	
Payment Network Rebates	-50%	
Net Payment Network Revenue (\$M)	17,335	
Net Value Added Services & Solutions	10,832	
Net Revenue (\$M)	28,167	
Volume Based		32%
Transaction Based		35%
X-Border		26%
Other		7%
Rebates		-28%
Net Revenue (\$M)		36,802
Personnel Expense	6,673	6,598
% Revenues	24%	18%
\$ GDV per Personnel Spend	1,462	2,411
Marketing Expense	815	1,573
% Revenues	3%	4%
\$ GDV per Marketing Spend	12,000	10,100
Operating Profit	16,452	24,895
Operating Margins	58%	68%
Adjusted Net Income	13,541	20,914
Profit Margin	48.1%	56.8%
U.S. Revenue	8,450	14,873
Int'l Revenue	19,717	21,929
US Revenue Mix	30%	40%

Source: Company reports.

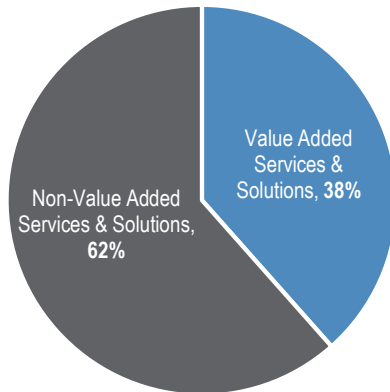
Note: Revenue mix for Mastercard is a percent of gross payment network revenue; Visa revenue mix is a percent of total gross revenue.

Revenue Composition

Figures 13 and 14 below show Mastercard and Visa's revenue mix from value added services. Mastercard reports payment network revenue independent of its value added services and solutions revenue, while Visa provides a separate disclosure for its value added services revenue reported within its other revenue lines.

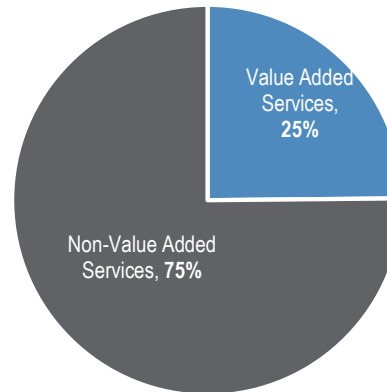
Value added services and solutions make up 38% of Mastercard's revenue, while they represent a quarter of Visa's revenue.

Figure 13: Mastercard Net Revenue Mix – 2024



Source: Company Reports.

Figure 14: Visa Net Revenue Mix – 2024

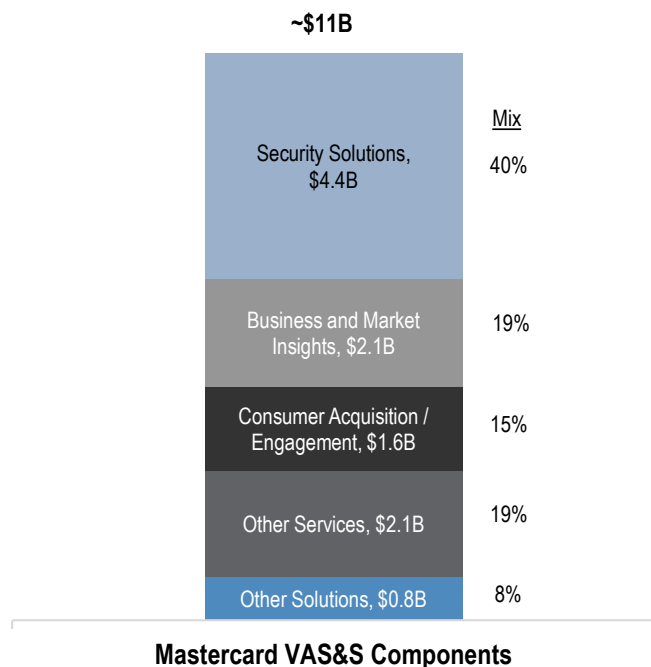


Source: Company Reports.

Recently, at their respective investor days, both Mastercard and Visa provided category level disclosure for their value added services revenue. For Mastercard, the largest self-categorized component of VAS revenue is Security Solutions representing 40% of revenue, followed by Business/Market Insights at almost 20%. For Visa, Issuing Solutions represent the largest category at 40% of VAS revenue, followed by Acceptance at almost 30%. On the margin, we like Visa's portfolio of services, the majority of which support the endpoints of its network (issuing and acceptance), which should support innovation and product adoption.

Based on company commentary, Visa has a slightly higher percent of VAS revenue that is network-linked at 65% vs. 60% for Mastercard.

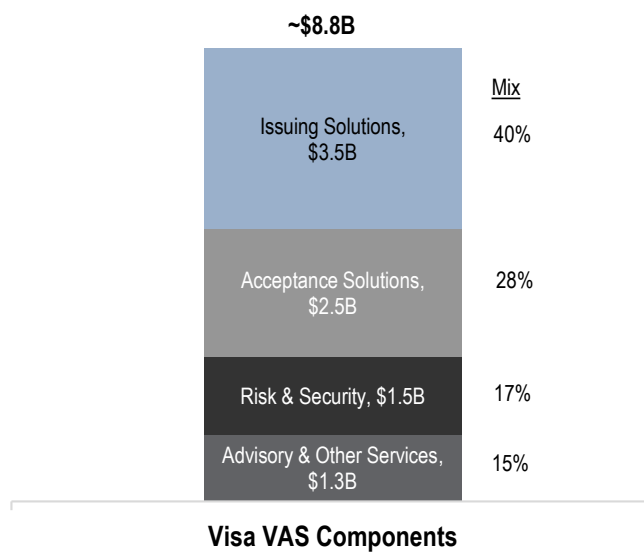
Figure 15: Mastercard VAS&S Components (FY24)



Source: Company reports and J.P. Morgan

Note: Component amounts estimated based on to-scale but unquantified graphic

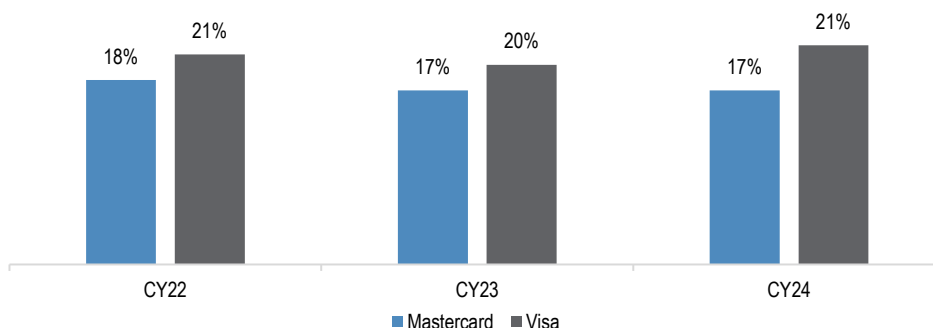
Figure 16: Visa VAS Components (FY24)



Source: Company reports and J.P. Morgan

While both networks' value added services revenue is growing faster than their payment network revenues, Visa has grown VAS revenue ~3ppts faster than Mastercard over the last three years. Law of large numbers contributes to this growth delta, as both companies added a similar amount of notional revenue in CY24 (Mastercard \$1.56B; Visa ~\$1.51B by our estimate).

Figure 17: Value Added Services Revenue Growth (FXN)



Source: Company Reports and J.P. Morgan calculations.

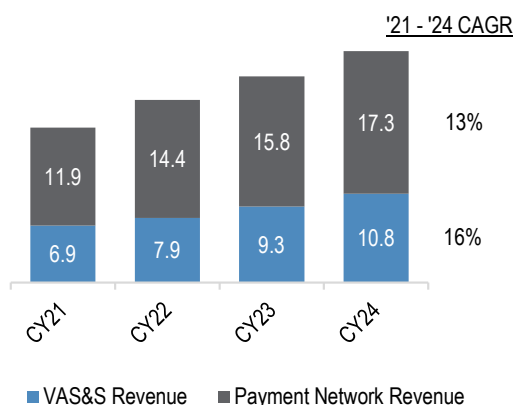
Note: Visa reflects average quarterly growth disclosure.

Mastercard provides value added services and solutions revenue disclosure quarterly, while Visa gives higher level commentary for its value added services revenue, which can complicate growth comparability. That said, Mastercard's revenue mix and growth is more balanced between VAS&S and payment network revenues, while Visa is more exposed to payment network revenues with a larger delta between VAS and payment

network revenue growth (~8ppt delta between VAS/network growth vs. 3ppts for Mastercard).

Figure 18: Mastercard Net Revenue Composition

\$ in Billions

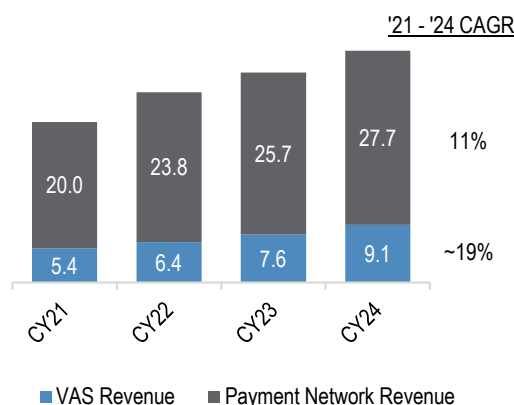


Source: Company reports.

Note: "VAS&S" reflects Value Added Services and Solutions. CAGR represents reported growth.

Figure 19: Visa Net Revenue Composition

\$ in Billions

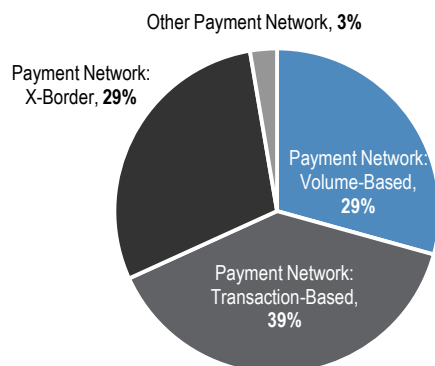


Source: Company reports.

Note: VAS (value added services) revenue and growth estimated based on limited disclosure.

Figure 20 and Figure 21 below show Mastercard's payment network and Visa's total gross revenue composition. On a reported basis, which is shown in the figures, **there is a notable degree of incomparability**, as Mastercard's data only represents revenue earned on its payment network (excluding value added services and solutions revenue), while Visa is total revenue (inclusive of value added services). On this basis, both companies show a similar mix of revenue type.

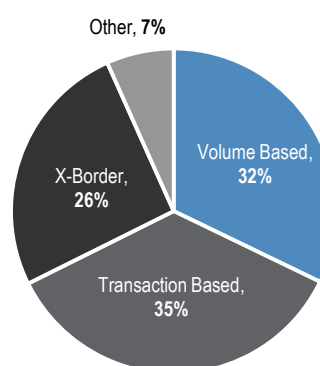
Figure 20: Mastercard Payment Network Revenue Mix (as % of Gross Revenue) – 2024



Source: Company reports.

Note: Reflects components of Mastercard's payment network revenues (excluding value added services and solutions revenue).

Figure 21: Visa Total Revenue Mix (as % of Gross Revenue) – 2024



Source: Company reports.

Note: Reflects components of Visa's total revenue (including value added services revenue).

In 2024, Visa said that about two thirds of its VAS revenue is within Data Processing ("Transaction Based"), while a third is split between Other and Service Revenue ("Volume Based"). If we remove these VAS revenues and compare to Mastercard apples-to-apples, Visa would have a higher mix of Volume Based revenue vs.

Mastercard (~6ppts higher, by our estimate) and a lower mix of Transaction Based revenue (~10ppts lower). Acknowledging these revenue disclosures are not completely volume based or transaction based, this implies that **inflation has a greater impact on Visa than Mastercard**, coupled by the fact that its overall revenues are less diversified into services.

Rebates and Incentives

Mastercard and Visa provide issuers, merchants and acquirers volume-based incentives and rebates to promote and encourage volume growth. These rebates and incentives are recorded as contra-revenues on the income statement.

We note R&I growth has outpaced Mastercard's and Visa's purchase volume growth over the past few years (see Table 5 below), as we believe competition for contract renewals has intensified and revenue sharing tied to performance has risen. Last year, Mastercard and Visa's rebates and incentives increased 16% and 11%, respectively, outpacing reported payment volume growth by 7 and 4 points, respectively.

Table 5: Historical Rebate and Volume Trends

\$ in millions

	CY21	CY22	CY23	CY24	CAGR
Rebates and Incentives (\$M)					
Mastercard	(10,475)	(12,445)	(15,182)	(17,629)	
% change y/y	31%	19%	22%	16%	19%
Visa	(8,880)	(10,710)	(12,859)	(14,213)	
% change y/y	31%	21%	20%	11%	17%
Marketing Spend (\$M)					
Mastercard	895	789	825	815	
% change y/y	36%	-12%	5%	-1%	-3%
Visa	1,211	1,388	1,302	1,573	
% change y/y	34%	15%	-6%	21%	9%
Purchase Volume (\$B)					
Mastercard	5,959	6,564	7,346	8,018	
% change y/y	26%	10%	12%	9%	10%
Visa	10,891	11,657	12,592	13,431	
% change y/y	22%	7%	8%	7%	7%

Source: Company reports.

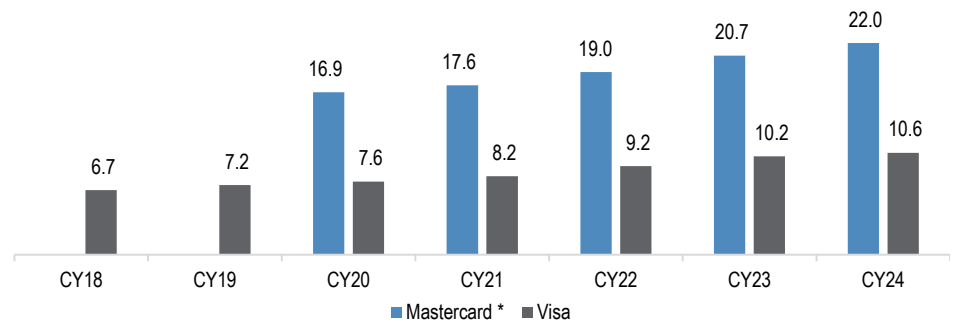
Note: Mastercard's reported data excludes debit transactions on Maestro- and Cirrus-branded cards. Mastercard rebates and incentives represents R&I for only its payment network (at the time of revenue reclassification in early 2023, payment network R&I made up ~95% of total R&I).

In CY24, Mastercard's notional payment network rebates and incentives were almost 25% larger than Visa's total incentives (\$17.6B vs. \$14.2B), despite processing ~40% less volume. **Our sense is Mastercard is more likely to leverage incentives as an effective volume discount vs. rack rate pricing while Visa is more willing to adjust gross pricing.**

Figure 22 below shows Mastercard and Visa's R&I as a percent of purchase volume, which has been steadily rising for both as they have had to offer greater incentives to win/retain issuer relationships. Mastercard's incentive yield is up 30% since 2020, while Visa's is up 39%.

Figure 22: Incentive Yield on Purchase Volume

Rebates & Incentives as % of Purchase Volume (bps)



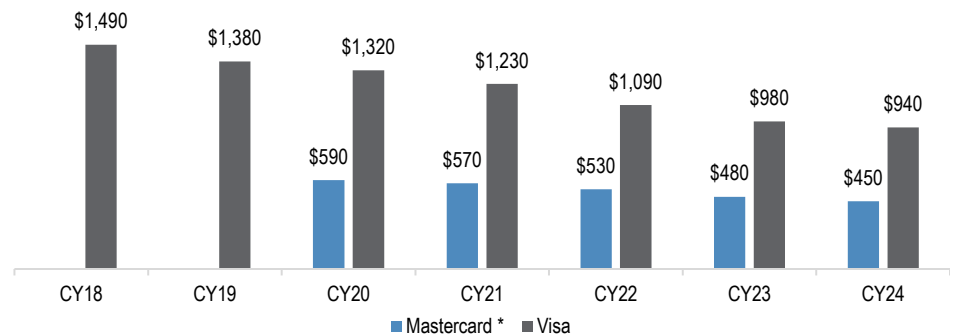
Source: Company reports and J.P. Morgan calculations.

Note: Mastercard rebates and incentives represents R&I for only its payment network (at the time of revenue reclassification in early 2023, payment network R&I made up ~95% of total R&I); comparable data is only available through CY20.

Or, shown another way, Figure 23 below reflects Mastercard and Visa's in-year return on incentives, defined as purchase volume generated in a given year, divided by incentive payments made that same year. Mastercard's in-year return on incentives (total volume divided by incentives) has declined 24% since 2020 while Visa's has declined 29%.

Figure 23: Purchase Volume Return on Incentives

Purchase Volume per \$ of Rebates & Incentives



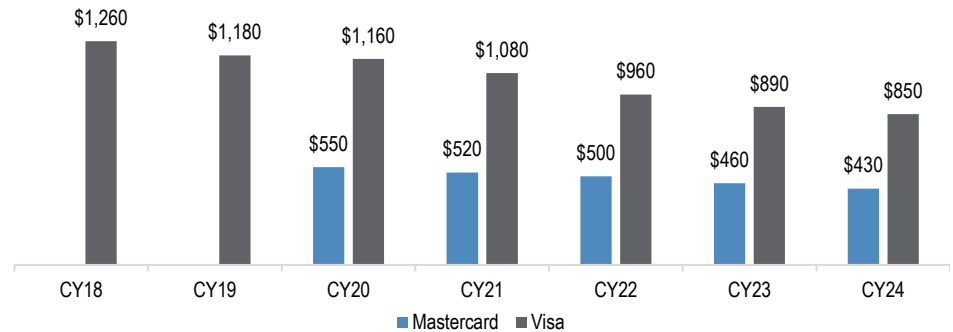
Source: Company reports and J.P. Morgan calculations.

Note: Mastercard rebates and incentives represents R&I for only its payment network (at the time of revenue reclassification in early 2023, payment network R&I made up ~95% of total R&I); comparable data is only available through CY20

However, when one factors in marketing expenses, the analysis yields a slightly less negative picture. Mastercard and Visa's returns on incentives and marketing spend, defined as total volume generated in a given year, divided by incentive payments and marketing spend in that same year, are down only 22% and 27%, respectively, since 2020.

Figure 24: Purchase Volume Yield on Incentives and Marketing Spend

Purchase Volume per \$ of Incentive and Marketing Expense



Source: Company reports and J.P. Morgan calculations.

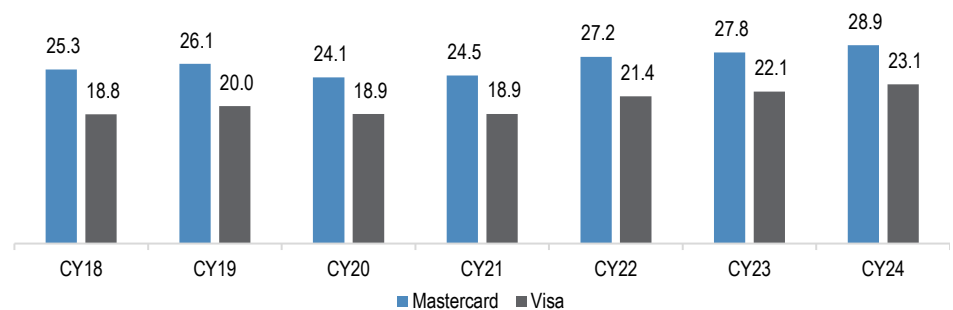
Note: Mastercard rebates and incentives represents R&I for only its payment network (at the time of revenue reclassification in early 2023, payment network R&I made up ~95% of total R&I); comparable data is only available through CY20

Net Revenue Yields

Encouragingly, even considering the growth in rebates and incentives, net pricing yields (defined as net revenue divided by total volume) continue to trend higher helped by value added services revenue growth. Mastercard's net yield increased 1.1bps in CY24, while Visa's increased 1.0bps.

Figure 25: Net Revenue Yield

bps of Total Volume



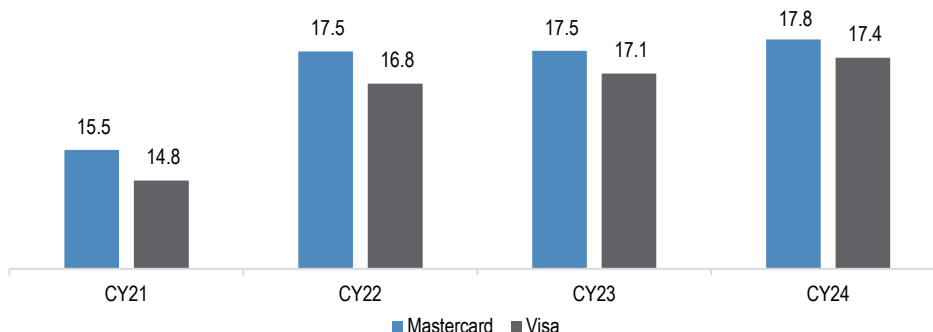
Source: Company reports and J.P. Morgan calculations.

Note: Mastercard's reported data excludes debit transactions on Maestro- and Cirrus-branded cards.

Even excluding value added service revenue, we believe net revenue yields have been stable to up for both companies, shown by Figure 26 below. By our calculation, Mastercard and Visa's ex-VAS&S revenue yields were up ~0.3bps y/y in 2024 and up materially from 2021, helped by outsized growth in higher-yielding cross border volumes.

Figure 26: Net Revenue Yield (Excluding Value Added Services Revenue)

bps of Total Volume



Source: Company reports and J.P. Morgan calculations.

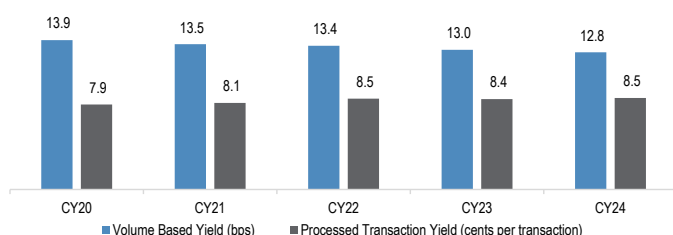
Note: Mastercard's reported data excludes debit transactions on Maestro- and Cirrus-branded cards.

Mastercard's and Visa's income statements identify revenues derived from volume (e.g., Mastercard's Domestic Assessments and Visa's Service Fees) and processed transactions (e.g., Mastercard's Transaction Processing Fees and Visa's Data Processing Fees), which we think are better measures of gross pricing trends in their core business. Figures 27 and 28, below, show Mastercard's and Visa's volume and transaction-based gross revenue yield trends. Historically, gross volume and transaction-based pricing increased over time, but Mastercard's volume yield began declining likely as volume mix shifted towards lower-yielding geographies.

Visa yields incorporate the beneficial impact of value added services within revenue figures (primarily processed transaction yield), while Mastercard's do not.

Figure 27: Mastercard Volume and Transaction-Based Yield Trends

bps of purchase volume; cent per processed transaction



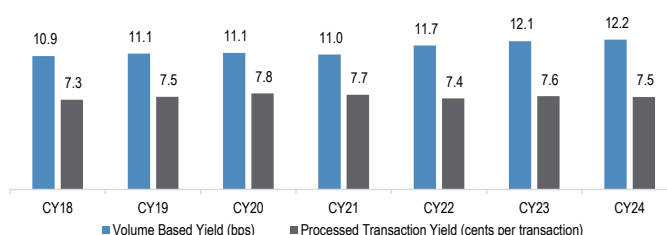
Source: Company reports, J.P. Morgan calculations.

Note: Represents payment network yields, exclusive of value added services and solutions.

Comparable data available through CY20.

Figure 28: Visa Volume and Transaction-Based Yield Trends

bps of purchase volume; cent per processed transaction



Source: Company reports, J.P. Morgan calculations.

Note: Represents total yields, inclusive of value added services

EPS Growth Analysis

Table 6, below, attempts to bifurcate earnings drivers for Mastercard and Visa over the past four years.

- Mastercard's revenue grew ~2ppts faster than Visa's in 2024, while its adj. EPS grew ~4ppts faster.
- Since 2021, Mastercard's net revenue and operating profit have increased 14% and 17%, respectively, on an annualized basis, versus 13% increases at Visa (showing minimal operating leverage). Similarly, Mastercard's adjusted net income and EPS have increased 18% and 20%, respectively, on an annualized basis, versus 15% and

18% increases at Visa.

- Mastercard's operating margins expanded 40bps in 2024 while Visa's contracted 40bps. Since 2021, Mastercard has seen its operating margins increase 410bps, versus a 50bps increase for Visa.
- In 2024, we calculate that about 2/3rds of both Mastercard and Visa's EPS growth were driven by operational factors (revenue growth, margin expansion), with the remainder driven by non-operational factors (tax rate, share count, other below the line).

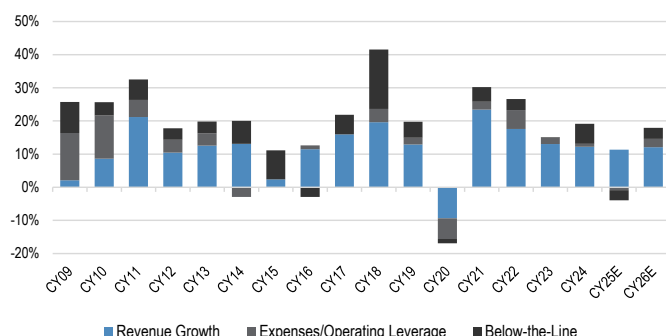
Table 6: EPS Growth Analysis

	Mastercard				Visa			
	CY21	CY22	CY23	CY24	CY21	CY22	CY23	CY24
Revenue	18,884	22,200	25,098	28,167	25,477	30,188	33,352	36,802
% change (y/y)	23.4%	17.6%	13.1%	12.2%	18.6%	18.5%	10.5%	10.3%
Operating Profit	10,259	12,651	14,547	16,452	17,113	20,478	22,691	24,895
Operating Margins	54.3%	57.0%	58.0%	58.4%	67.2%	67.8%	68.0%	67.6%
Non-Operating	(414)	(387)	(309)	(300)	(450)	(310)	232	372
Pre-tax Income	9,845	12,264	14,239	16,152	16,663	20,168	22,923	25,267
Tax	1,512	1,921	2,635	2,610	2,953	3,452	4,285	4,353
Tax Rate	15.4%	15.7%	18.5%	16.2%	17.7%	17.1%	18.7%	17.2%
Adjusted Net Income	8,333	10,343	11,603	13,541	13,710	16,716	18,638	20,914
Adj. EPS	\$8.41	\$10.65	\$12.26	\$14.61	\$6.30	\$7.88	\$9.01	\$10.39
Shares Outstanding	991	971	946	927	2,176	2,121	2,070	2,013
<u>EPS Growth Contribution:</u>								
Revenue Growth	23.4%	17.6%	13.1%	12.2%	18.6%	18.5%	10.5%	10.3%
Margin Expansion	2.4%	5.8%	1.9%	0.9%	3.8%	1.2%	0.3%	-0.6%
Operations	25.8%	23.3%	15.0%	13.1%	23.1%	19.9%	10.8%	9.6%
Non-Operating Items	1.1%	1.3%	1.1%	0.3%	0.1%	1.2%	2.8%	0.6%
Tax Rate	1.3%	-0.5%	-3.9%	3.3%	0.9%	0.9%	-2.2%	2.0%
Share Count	2.0%	2.5%	3.0%	2.5%	2.1%	3.2%	2.8%	3.2%
EPS Growth	30.2%	26.6%	15.2%	19.2%	26.2%	25.1%	14.3%	15.4%

Source: Company reports, J.P. Morgan calculations.

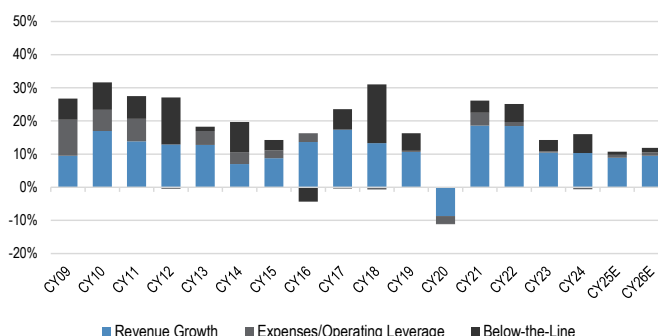
Figures 29 and 30 below show historical drivers for Mastercard and Visa's adj. EPS growth since 2009, isolating contributions from: **(1)** revenue growth, **(2)** operating leverage and **(3)** below the line items including non-operating, tax and share count. Averaging these components over the last 16 years, both Mastercard and Visa saw similar contribution from revenue, driving ~2/3rds of adj. EPS growth (61% for Mastercard and 64% for Visa), mid-teens contribution from expenses/operating leverage and ~25% contribution from below the line items (largely share repurchases).

Figure 29: Mastercard's Drivers of Adj. EPS Growth



Source: Company reports and J.P. Morgan estimates and calculations.

Figure 30: Visa's Drivers of Adj. EPS Growth



Source: Company reports and J.P. Morgan estimates and calculations.

Balance Sheet Summary

Table 7, below, summarizes key balance sheet metrics. Mastercard and Visa ended the year with \$8.9B and \$14.3B in cash, respectively. Mastercard ended the year with total debt of ~\$18.2B (~1.1x leverage), while Visa ended the year with ~\$20.6B (~0.8x leverage).

Table 7: Balance Sheet Summary (as of Dec 2024)

\$ in millions

	Mastercard	Visa
Cash, Equivalents and Investments	8,934	14,334
Short Term Debt	750	3,929
Long Term Debt	17,476	16,680
Total Debt	18,226	20,609
Total Debt/EBITDA	1.1x	0.8x

Source: Company reports, J.P. Morgan calculations.

Returns and Stock Performance

Shareholder Returns

Table 8, below, compares returns to Mastercard and Visa shareholders in CY24.

- Mastercard and Visa returned 100% and 103% of adjusted net income to shareholders in the form of dividends or share repurchases, respectively. Mastercard's and Visa's dividends increased 13% and 12%, respectively. We calculate Mastercard and Visa's dividend payout ratios at 18% and 21%, respectively. Mastercard's share repurchases increased 22% to \$11B, while Visa's increased 36% to \$17.1B.
- Mastercard's ROA, ROE and ROIC measures are considerably higher than Visa's, largely due to Visa's relatively large intangibles and goodwill, much of which was created prior to its IPO, and equity (primarily additional paid in capital) balances.

Table 8: Shareholder Returns – CY24

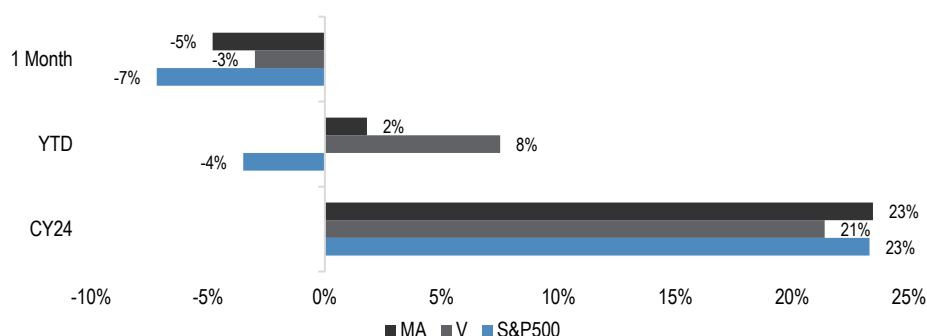
	Mastercard	Visa
Adjusted Net Income	13,541	20,914
% change (y/y)	17%	12%
Net Margin	48.1%	56.8%
Dividends	(2,448)	(4,327)
% change (y/y)	13%	12%
Payout Ratio	18%	21%
Share Repurchases	(11,035)	(17,144)
% change (y/y)	22%	36%
Total Capital Returns	(13,483)	(21,471)
Return Ratio	100%	103%
ROA	28%	23%
ROE	208%	53%
ROIC	55%	41%
Cash Spent on Acquisitions	2,511	1,821

Source: Company reports and J.P. Morgan calculations.

Relative Valuation and Stock Performance

Figure 31, below, shows historical stock performance. In 2024 Mastercard and Visa shares appreciated 23% and 21%, respectively, compared to the S&P 500, which appreciated 23%. Year to date, Visa (+8%) has outperformed Mastercard (+2%) and the broader S&P 500 (-4%), as we believe investors preferred U.S. growth early in the year as well as seeing less of a regulatory risk supporting positive multiple upside.

Figure 31: Mastercard and Visa Historical Stock Performance

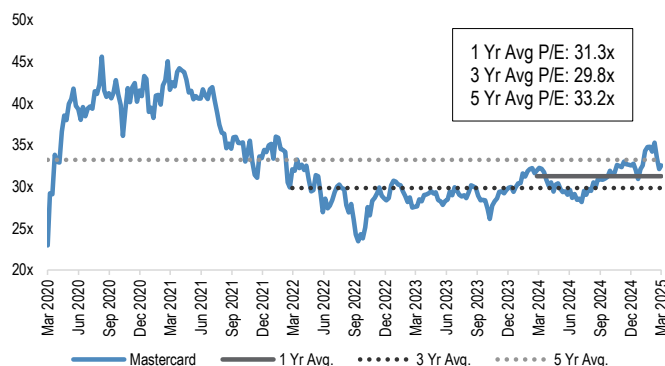


Source: Bloomberg Finance L.P.
Note: As of 3/19/2025.

- Figures 32 and 33, below, show Mastercard's and Visa's historical NTM P/E multiples over the past five years. Mastercard and Visa have traded (on average) at ~33x and ~28x NTM EPS estimates over the past five years, respectively, with both stocks trading near their average multiples today.
- Mastercard has traded at an average NTM P/E of 31x and 30x over the last one- and three-year periods, respectively, a premium to Visa, which has traded at an average NTM P/E of 26x over the last one- and three-year periods, respectively.
- At the time of publication, Mastercard and Visa trade at ~33x and ~28x,

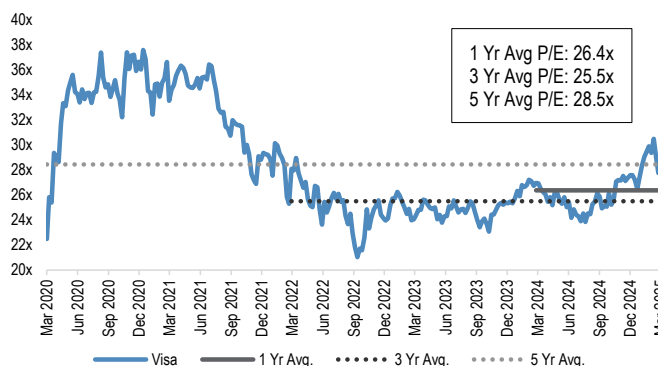
respectively, on an NTM P/E basis.

Figure 32: Mastercard Historical NTM P/E



Source: Bloomberg Finance L.P.
Note: As of 3/19/2025.

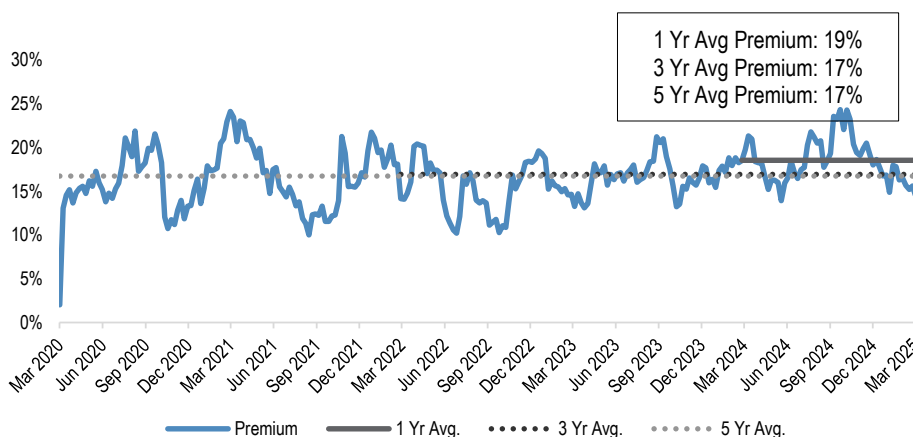
Figure 33: Visa Historical NTM P/E



Source: Bloomberg Finance L.P.
Note: As of 03/19/2025.

Figure 34, below, shows Mastercard's NTM P/E relative to Visa's. We note Mastercard has traded at a 17% premium (on average) to Visa over the past three and five years, a 19% premium over the past year, and a 15% premium today.

Figure 34: Mastercard-to-Visa Historical NTM P/E Premium



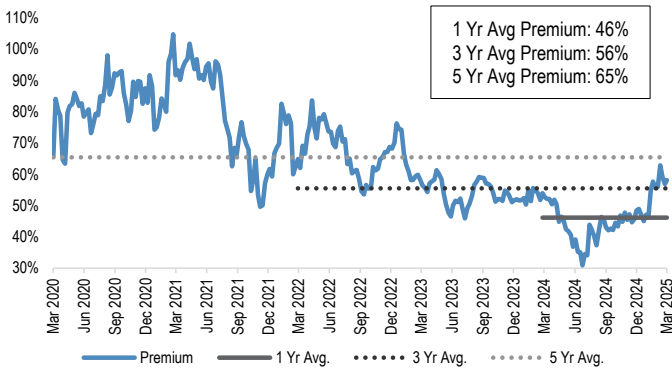
Source: Bloomberg Finance L.P.
Note: As of 3/19/2025.

Figures 35 and 36, below, show the networks' NTM P/E multiples relative to the S&P 500 over the past five years.

- Over the past five years, Mastercard and Visa traded at 65% and 42% premiums to the S&P 500, respectively, on a NTM P/E basis.
- Over the past three years, Mastercard and Visa traded at 56% and 33% premiums to the S&P 500, respectively, on a NTM P/E basis.
- Over the last year, Mastercard and Visa traded at 46% and 23% premiums to the S&P 500, respectively, on a NTM P/E basis.
- Today, Mastercard and Visa trade at 58% and 38% premiums to the S&P 500, respectively, on a NTM P/E basis, toward the midpoint of the historical (three and

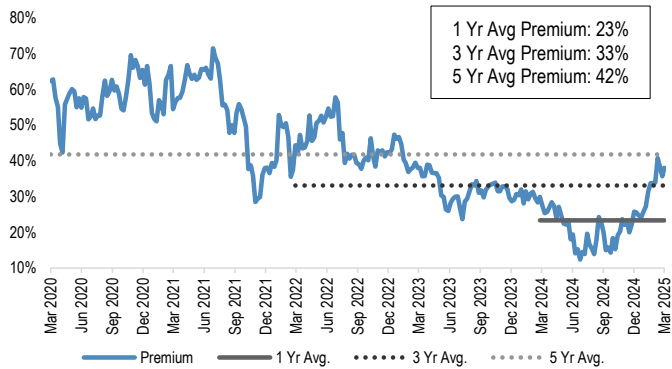
five year) ranges.

Figure 35: Mastercard Historical NTM P/E Premium to S&P 500



Source: Bloomberg Finance L.P.
Note: As of 3/19/2025.

Figure 36: Visa Historical NTM P/E Premium to S&P 500



Source: Bloomberg Finance L.P.
Note: As of 3/19/2025.

Investment Thesis, Valuation and Risks

Visa Inc. (Overweight; Price Target: \$375.00)

Investment Thesis

Visa is the #1 global card network worldwide and benefits from the ongoing global secular shift toward card-based and electronic payments. Visa's business is characterized by recurring revenues, high incremental margins, low capital expenditures, and high free cash flow. We rate Visa Overweight as we continue to like the longer-term growth opportunity.

Valuation

Our Dec 2025 price target of \$375 (from \$340) applies a 29x multiple (from 27x) on our CY26E EPS, in line with its current NTM P/E multiple and ~4-turns ahead of its three-year average. We believe this multiple is reasonable given Visa's greater relative exposure to U.S. growth which has accelerated in recent months and it captures the scarcity value of Visa's growth at scale (supported by pricing power) and best-in-class margins. Our 29x target multiple is a 4-turn discount to our Mastercard multiple, which is slightly above its five-year relative average (5 turns).

Risks to Rating and Price Target

- Material adverse impact from interchange regulation, including but not limited to market share loss and increased pricing pressure;
- Unforeseen payment processing regulation in non-U.S. markets;
- Increased competition from alternative payment processing mediums/providers or domestic schemes mandated by local regulators;
- Deceleration in global purchase volume growth (particularly cross-border) due to macro shocks;
- Increased pricing pressure from end-market consolidation (i.e., merchant acquirers and card issuers);
- Volume shift from Reg II;
- Major issuer defections; and
- Acquisition integration issues.

Investment Thesis, Valuation and Risks

Mastercard (*Overweight; Price Target: \$610.00*)

Investment Thesis

Mastercard is the #2 global card network worldwide and benefits from the ongoing global secular shift toward card-based and electronic payments. Mastercard's business is highly defensible and characterized by recurring revenues, high incremental margins, low capital expenditures, and high free cash flow. We rate MA Overweight as we continue to like the longer-term growth opportunity including double-digit revenue growth through a combination of PCE penetration and value-added services made possible by scale.

Valuation

Our Dec 2025 price target of \$610 (from \$590) applies a 33x multiple (from 32x) on our CY26E EPS, somewhat below its current NTM multiple (~34x) and ~3 turns ahead of its three-year average. We believe this multiple is reasonable given Mastercard's premium growth (helped by its mix of geographic exposure and value-added service revenue) and identified pricing actions helping to de-risk near-term FXN/organic estimates, supporting defensive growth especially as volume growth remains stable to accelerating. This multiple is a 4-turn premium to our target Visa multiple, which is slightly below its five-year relative average (5 turns).

Risks to Rating and Price Target

- Material adverse impact from implementation of interchange and/or network routing regulation, including but not limited to 1) market share loss and 2) increased pricing pressure – same risk applies to outcome of pending settlement of MDL 1720;
- Unforeseen payment processing regulation in non-U.S. markets;
- Increased competition from alternative payment processing mediums/providers or local domestic schemes mandated by local regulators;
- Deceleration in GDV growth (particularly cross-border volume), including macro shocks where impact and recovery can be difficult to estimate;
- Execution issues in M&A integration causing dilution;
- Increased pricing pressure from end-market consolidation (merchant acquirers and card issuers); and
- Major issuer defection.

Companies Discussed in This Report (all prices in this report as of market close on 20 March 2025, unless otherwise indicated)
Mastercard(MA/\$536.38/OW), Visa Inc.(V/\$339.50/OW)

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Visa Inc. (V, V US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
05-Apr-22	OW	227.74	260
27-Apr-22	OW	201.10	270
27-Jul-22	OW	212.49	251
16-Aug-22	OW	216.42	272
25-Oct-22	OW	190.71	243
27-Jan-23	OW	224.71	265
22-Aug-23	OW	239.46	296
09-Oct-23	OW	235.04	293
23-Jan-24	OW	271.20	302
18-Jul-24	OW	272.70	300
24-Jul-24	OW	264.79	290
20-Aug-24	OW	266.47	320
19-Nov-24	OW	312.16	340
31-Jan-25	OW	343.05	375

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 28, 2008. All share prices are as of market close on the previous business day.

Mastercard (MA, MA US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
05-Apr-22	OW	366.91	400
29-Apr-22	OW	378.83	430
20-Jul-22	OW	340.38	425
28-Jul-22	OW	343.27	408
16-Aug-22	OW	359.95	463
27-Oct-22	OW	319.51	395
27-Jan-23	OW	377.24	452
27-Apr-23	OW	366.76	442
22-Aug-23	OW	393.20	510
09-Oct-23	OW	397.97	496
26-Oct-23	OW	386.31	484
23-Jan-24	OW	439.75	504
15-Apr-24	OW	465.38	520
01-May-24	OW	451.20	510
18-Jul-24	OW	451.16	500
20-Aug-24	OW	466.98	570
21-Oct-24	OW	516.34	593
01-Nov-24	OW	499.59	580
19-Nov-24	OW	521.63	590
31-Jan-25	OW	566.01	610

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 13, 2007. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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